

BRUCE GENDEIN

***Modern Qualified Plans:**
Custom Tax Minimization
Strategies





Modern Qualified Plans: Custom Tax Minimization Strategies

Presented by :
BRUCE GENDEIN



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McHenry Advisers



About Us:

- Established In 2006
- Corporate Headquarters In New Albany, Ohio
- 46 Members On Our Team
- Enrolled Actuaries, Attorneys, Advanced Tax Strategy Consultants, Executive Concierge Team

What We Do:

- Custom Qualified Plan Tax Strategies For High-Income & High-Net-Worth Business Owners
- Experts In Innovative Tax Minimization Strategies
- Actuarial & Administration Services for 3,000+ Active Qualified Plans

Who We Work:

- Plan Sponsors, Financial Professionals, CPAs



Modern Qualified Plans

Custom Tax Minimization Strategies

- **Two Strategies for Business Owners**

- Pension Plans (Cash Balance or Defined Benefit)
 - Reduces Taxes Today and Reduce Future Taxes
 - Tax Mulligan
- Retirement Tax Minimization Strategies (RTMS)
 - Efficiently Reposition IRA or Qualified Plan Balances into Policy ultimately owned Personally or by Grantor Trust (ILIT / SLAT)
 - Reduce Income Tax and Estate Tax on Accumulated IRA / Qualified Plan Assets

- **Strategic Approach**

- Fund Policy in Qualified Plan - Pre-Tax Funding
- Ultimately Reposition into Personal Ownership or Grantor Trust (ILIT / SLAT) - Tax-Free Benefits





Who Is A Good Fit For A Cash Balance Plan?

- Closely Held Ownership Group
- High Income and Want to Pay Less In Income Tax
- Cash Flow for 100K+ Contribution
- **Professional Service Firms**
(Medical, Dental, Legal, Financial Service, Accounting)
- **Owner Only Businesses**
(1099 Income Without Other Employees)
 - Real Estate Agents
 - Side Income or Business
- **Closely Held and Family Owned Business of All Industries**
- **Business Transition or Income Spikes**



Cash Balance Plan Tax Savings Estimator

Business Owners Age	Sample Deductible Contribution to Cash Balance Plan	Estimated Federal & State Income Tax Savings
Age 60	430,000	180,000
Age 50	332,000	139,000
Age 40	202,000	84,000
Age 30	123,000	51,000



Maximum Contributions By Plan Type

Business Owners Age	Maximum 401(k) Profit Sharing Plan Limit	Sample Deductible Pension Plan Contribution
Age 60	83,250	430,000
Age 50	80,000	332,000
Age 40	72,000	202,000
Age 30	72,000	123,000

Sample Cash Balance Plan Design - Owner Only - Age 60 & 55

	Pension Investment or Annuity Funding	Pension Life Insurance Funding	Total Contribution
Owner Age 60	228K	162K	390K
Owner Age 55	214K	152K	366K

Results:

- 756K Deductible Contribution
- 317K Immediate Income Tax Savings



Sample Cash Balance Plan Design - With Employees

	W2 Comp.	Profit Sharing	Pension Investment Funding	Pension Life Insurance Funding	Total Contribution
Owner 1 Age 55	360K	31K	193K	192K	416K
Owner 2 Age 45	360K	10K	149K	103K	262K
3 Employees Age 50, 40, 30	180K	12K	3K	2K	18K

Result:

- **678K Deductible Contribution for Owners**
- **284K Immediate Income Tax Savings**
- Owners Retain 97% of Contributions



Mid Size Firm With Existing 401(k) Plan

	W2 Comp	401(k) & Match	Profit Sharing	Pension Plan	Total Contribution
4 Family Members	1.16M	Existing	0	1.20M	1.20M
17 Other Highly Compensated Employees	3.89M	Existing	0	0	0
94 Non Highly Compensated Employees	6.31M	Existing	4K	45K	49K

Where It Works:

- Existing 401(k) Is Not Top Heavy (i.e. Ownership/Executive Group Has Less Than 60% of Total Benefits)
- Ok With Benefitting A Subset Of Employee Population

Result: 10% of Payroll But 96% Of Pension Plan Funding



McHenry Advisers Tax Mulligan

- Secure Act Law Change
 - Qualified Plans Can Now Be Adopted After The End Of the Tax Year
 - (Like IRAs and SEPs)
- Plan Must Be Adopted And Funded By the Due Date Of the Plan Sponsors Tax Return
 - S-Corp : March 15th
 - Partnership: March 15th
 - C-Corp: April 15th
 - Schedule C or Sole Proprietor: April 15th
- If Business Tax Return Is Extended, Have Until September 15th
- Plan Adoption & Funding
 - Extensions Are Easy





Cash Balance & Defined Benefit Pension Plans

What To Know

Scalable:

- Can Be Designed To Target Any Specific Desired Contribution Up To Limit Based on Age and Income

Flexible:

- Wide Range Of Available Contributions Pursuant To Actuarial Valuation Report & Plan Can Be Amended To Prospectively Change Benefit & Funding Targets





What To Know About:
Cash Balance & Defined
Benefit Pension Plans

Ceiling On What Can Be Distributed
Out Of Plan Without Tax
Consequences

Assuming 10+ Years In Plan &
Rollover IRA:

3.72M @ Age 62

2.26M @ Age 52

1.37M @ Age 42

Maximum Funded - Modern Pension Plan

Plan Funding

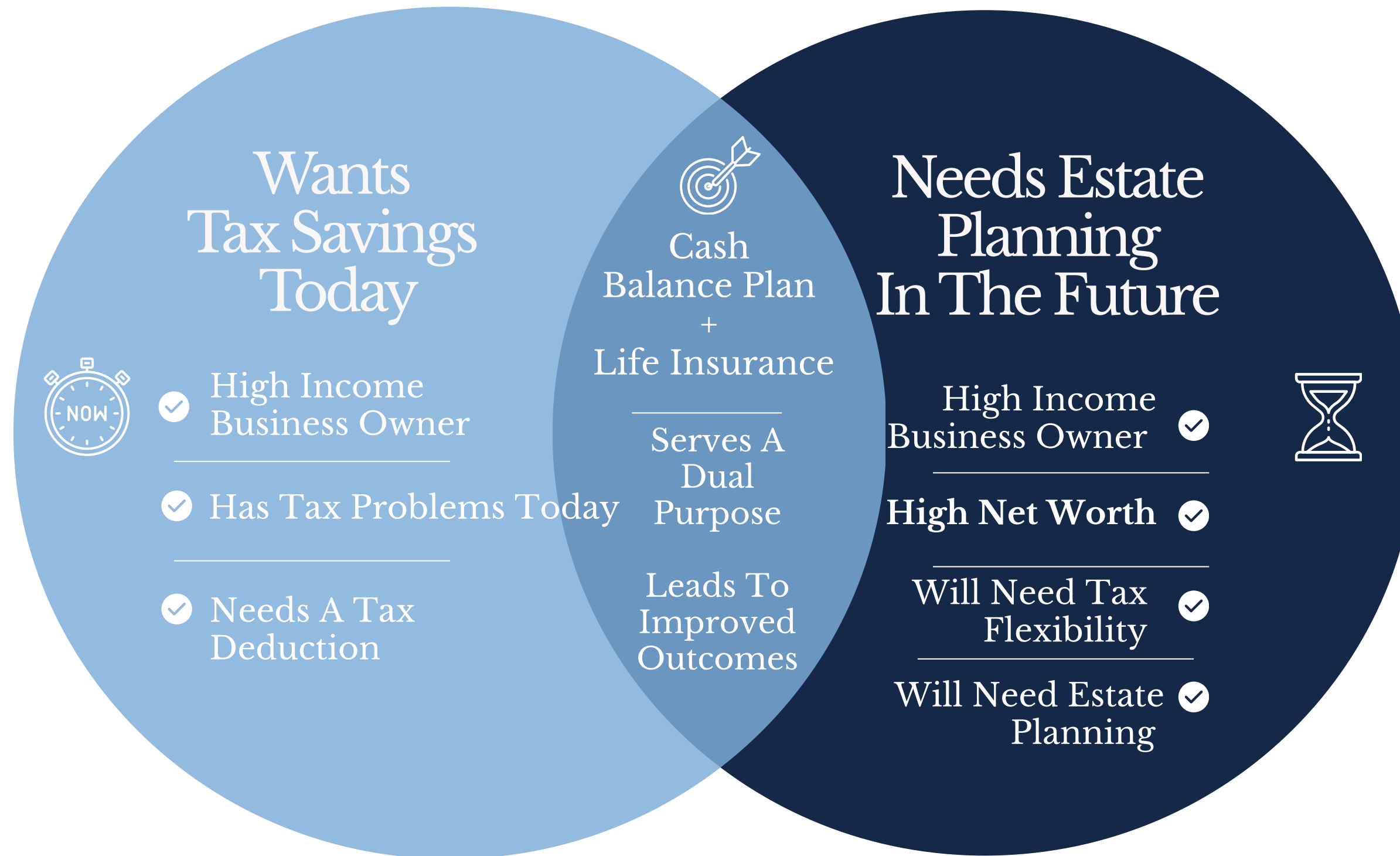
Pension Plan	
Investment or Annuity	Life Insurance Policy
Early Years (1 to 5) Deductible Contribution - 395K	202K *5 Years
Cash From Grantor Trust or Personal Account - \$580K	580K
Later Years (6 to 10) Deductible Contribution - 309K	309K *5 Years
	Rollover to IRA

Outcome

Life Insurance Policy
Life Expectancy Death Benefit - 7.4M
Growth - Income Tax-Free
Withdrawals - Income Tax-Free
At Death - Income Tax-Free
Estate - Tax-Free (if in Grantor Trust)
IRA
Rollover to IRA of 3.72M
Growth - Tax-Deferred
Withdrawals - Taxable
At Death - Taxable
Estate - Taxable

Pension Provided for 3.53M of Contributions and ~1.74M of Income Tax Savings over 10 year period
Policy Swapped From Plan For Fair Market Value (DOL PTE 92-6 and Rev. Proc. 2005-25)

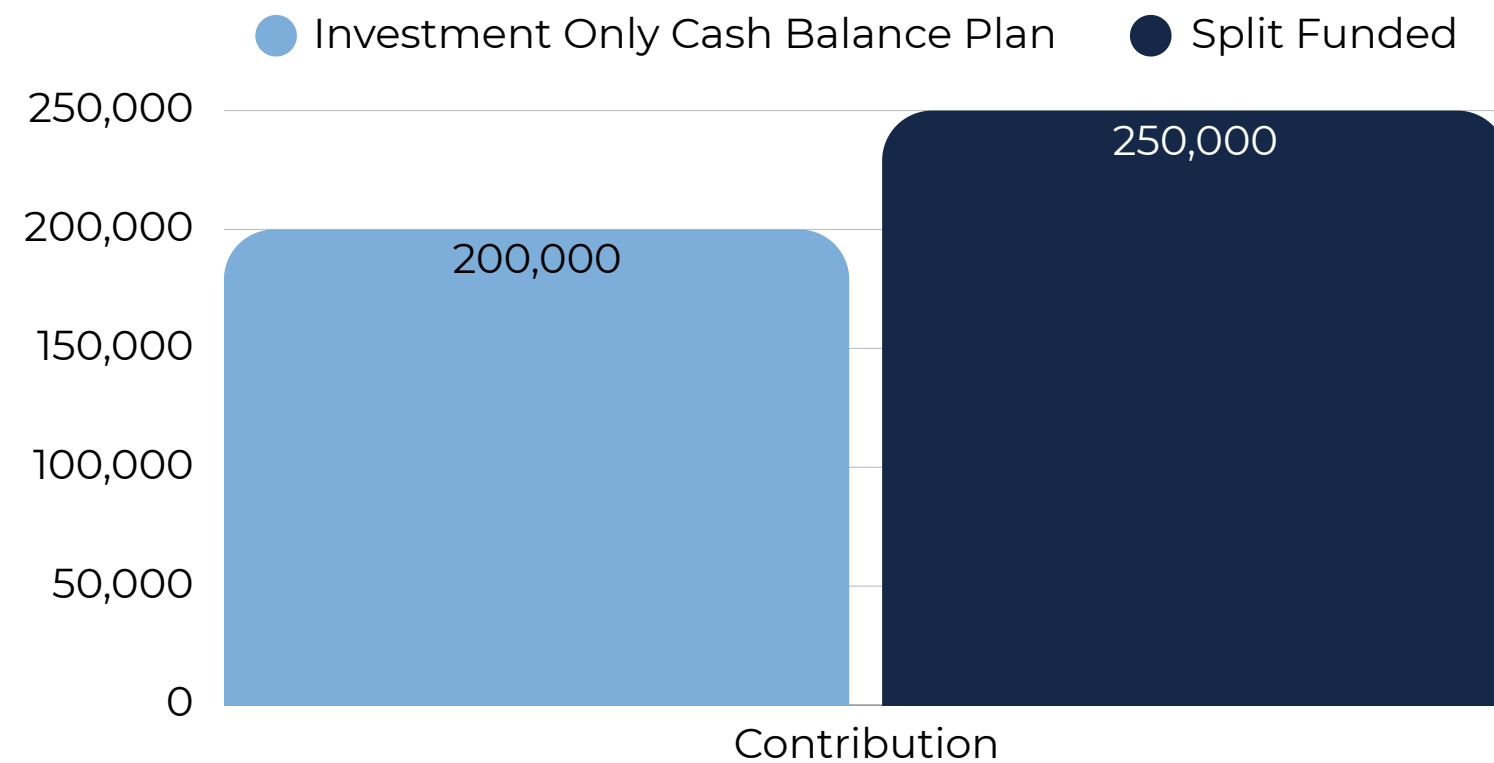
Why Life Insurance in a Cash Balance Plan?



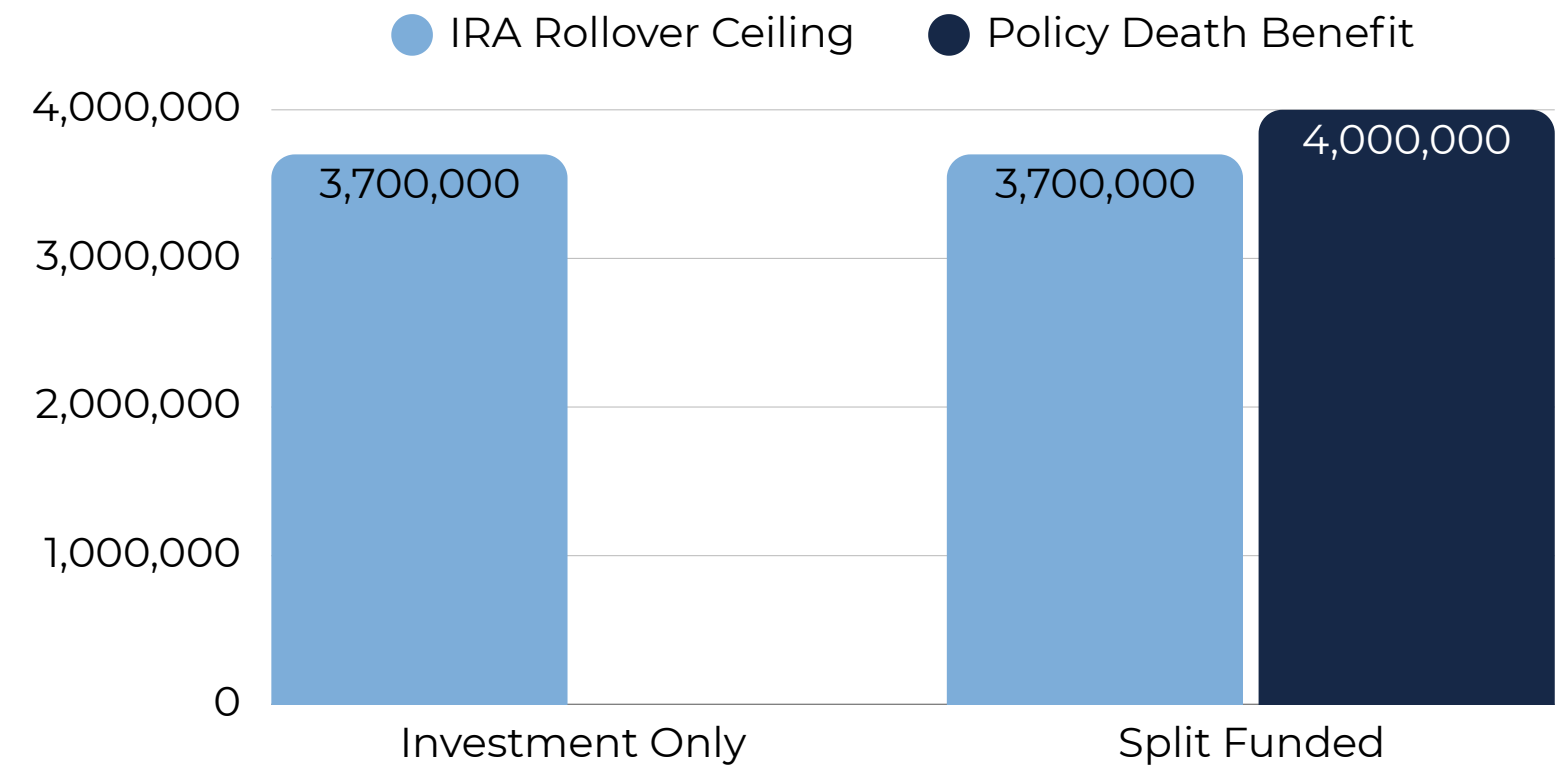
Larger Contributions and Deductions and Funding 2 Benefits



Larger Plan Contributions



Funding Additional Plan Benefits





Improved Outcomes



Qualified Plan

- Pre-Tax Funding
- Tax Deferred Growth
- Income Tax In Retirement
+ In Taxable Estate

Strategic Arbitrage

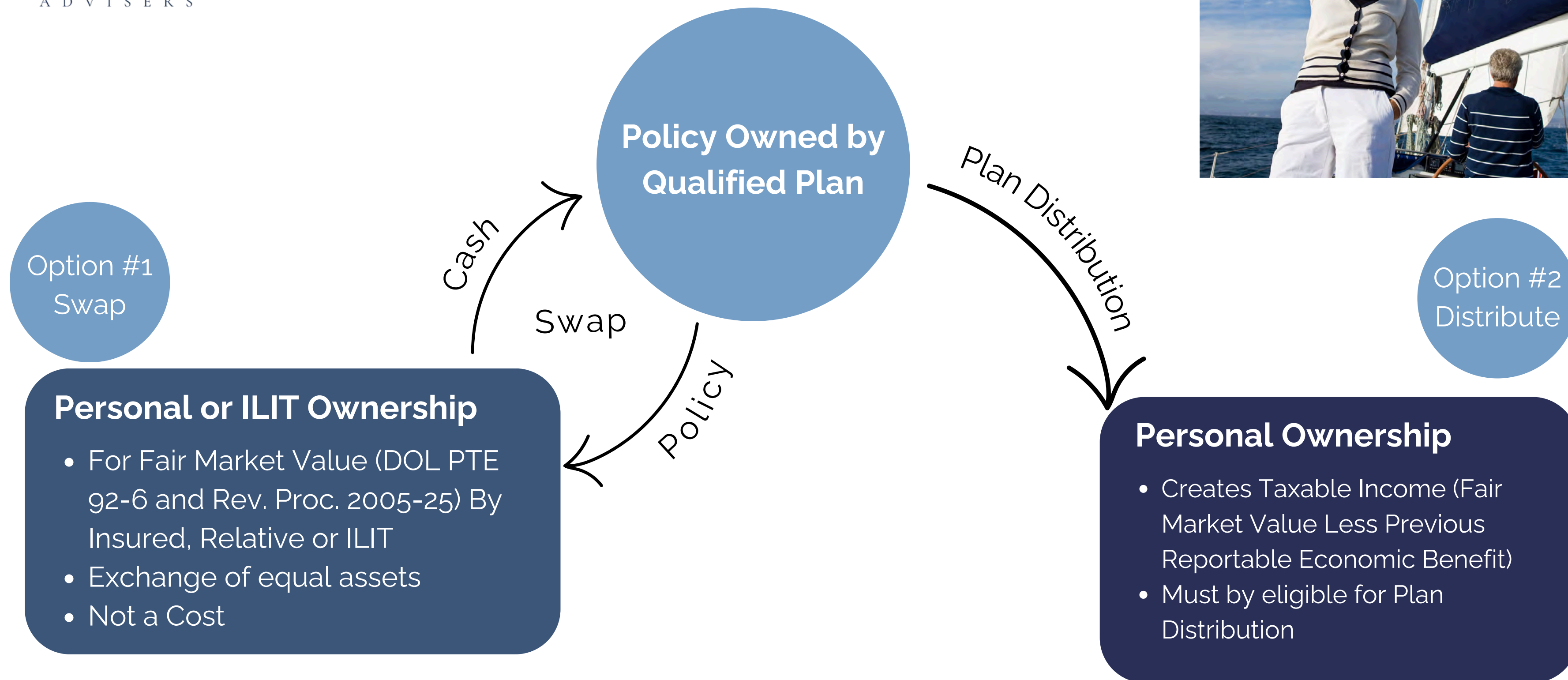
Long Term Policy
Design
+
Fund Policy Pre-Tax
+
Early Year Policy
Charges
+
Reposition
=
Tax Subsidized
Policy Funding

Life Insurance Owned Personally or in ILIT



- Income Tax Free
Death Benefit and
Accumulation
- Flexibility Of Use
- Can be positioned in
ILIT and Outside of
Estate

Two Ways to Remove Life Insurance Policy From Qualified Plan



Retirement Tax Minimization Strategies (RTMS)

- **Who's A Good Fit?**

- Business Owners
- \$1,000,000 + IRA/Qualified Plan Pre-Tax Accounts Not Needed For Retirement Income

- **Goals:**

- Reduce Required Minimum Distributions
- Hedge Against Rising Income Tax Rates
- Increase After Tax Retirement Income
- Address Double Taxation - Estate & Income / Qualified Plan Upon 2nd Death
- Increase Net Legacy Wealth Transfer

- **Strategy Can Be Legacy or Income Focused**

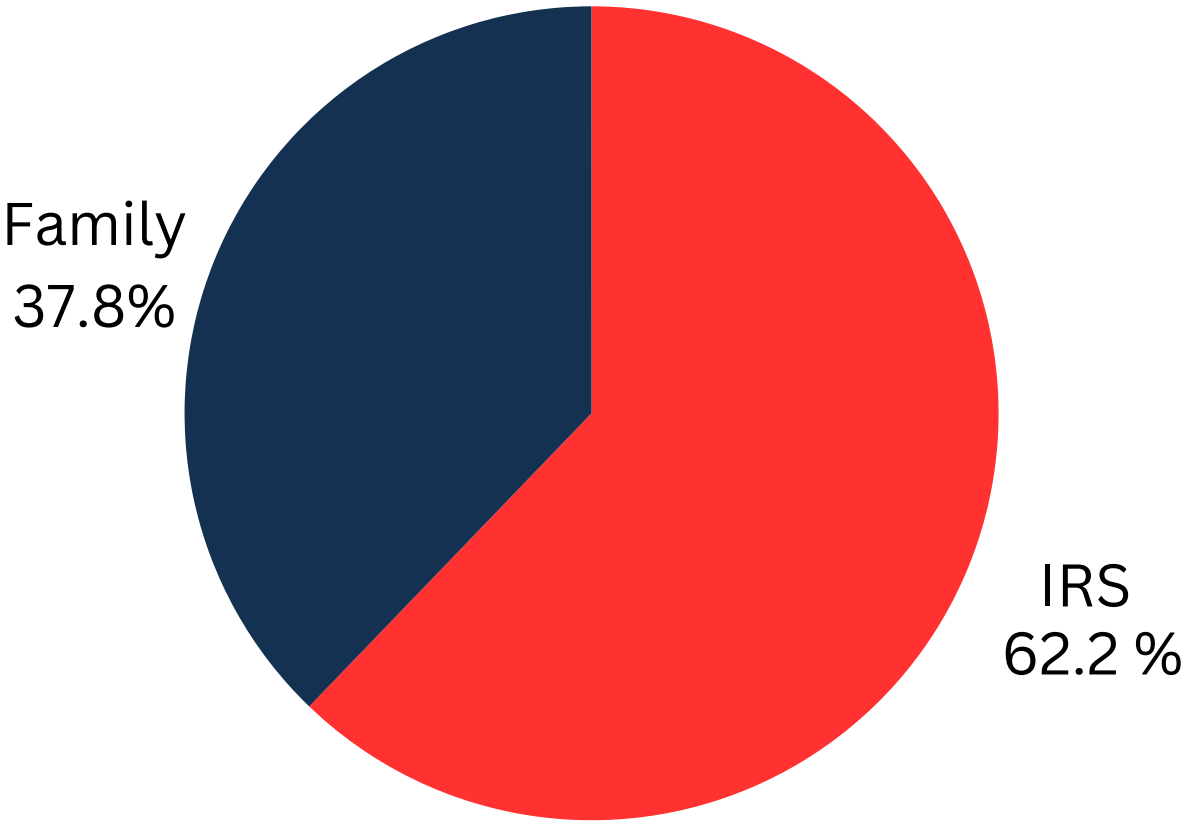
- **Keys:**

- Seasoned Money In Qualified Plan/Life Insurance Acquisition/Reposition For Income or Legacy (SLAT/ILIT)



Sample Taxes on IRA upon Death (Simplified Version)

IRA Balance	2M
-Federal Estate Tax (40% on Total)	(800K)
-Federal Income Tax on Net (37% on 1.2M)	(444K)
Net to Beneficiaries	756K
Effective Tax Rate	62.2%



- Assume Other Assets above Estate Tax Exemptions
- Plus State Income / Estate Tax
- This is after paying income tax on retirement income / required minimum distributions before death



Retirement Tax Minimization Strategies (RTMS)

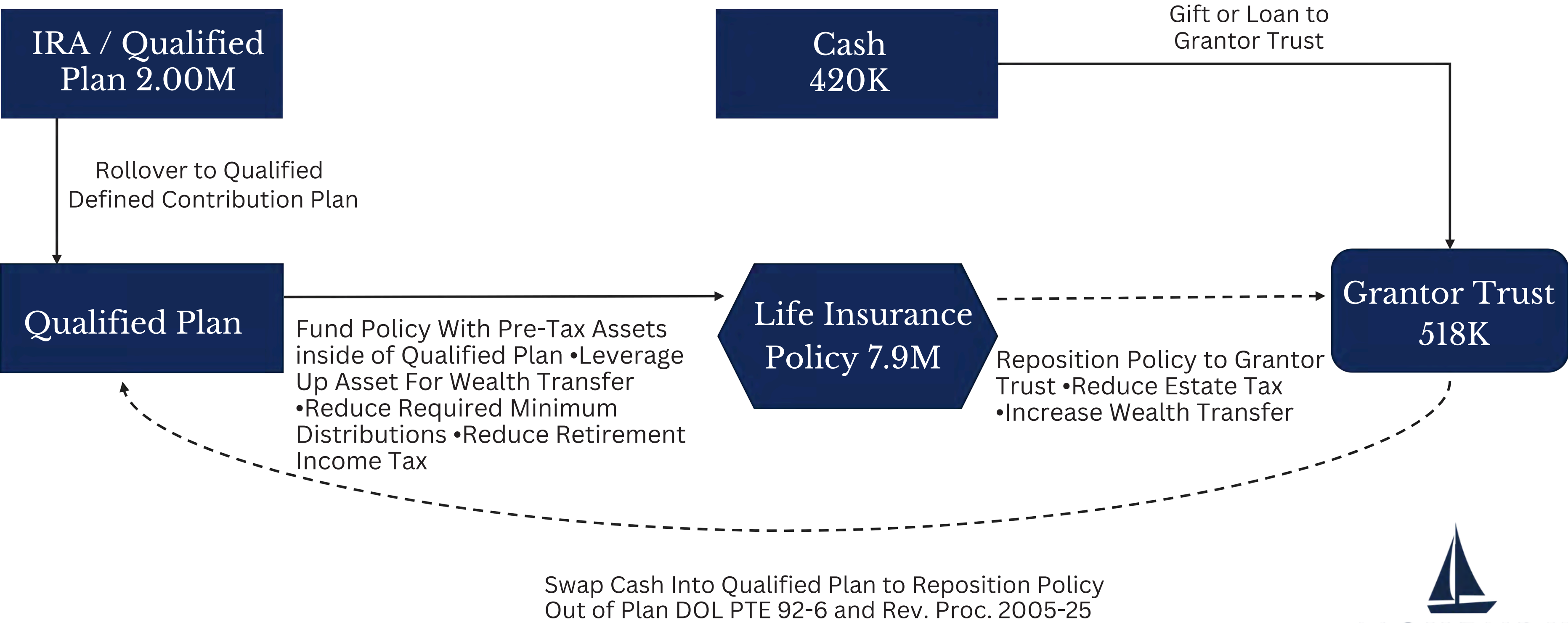
The Process

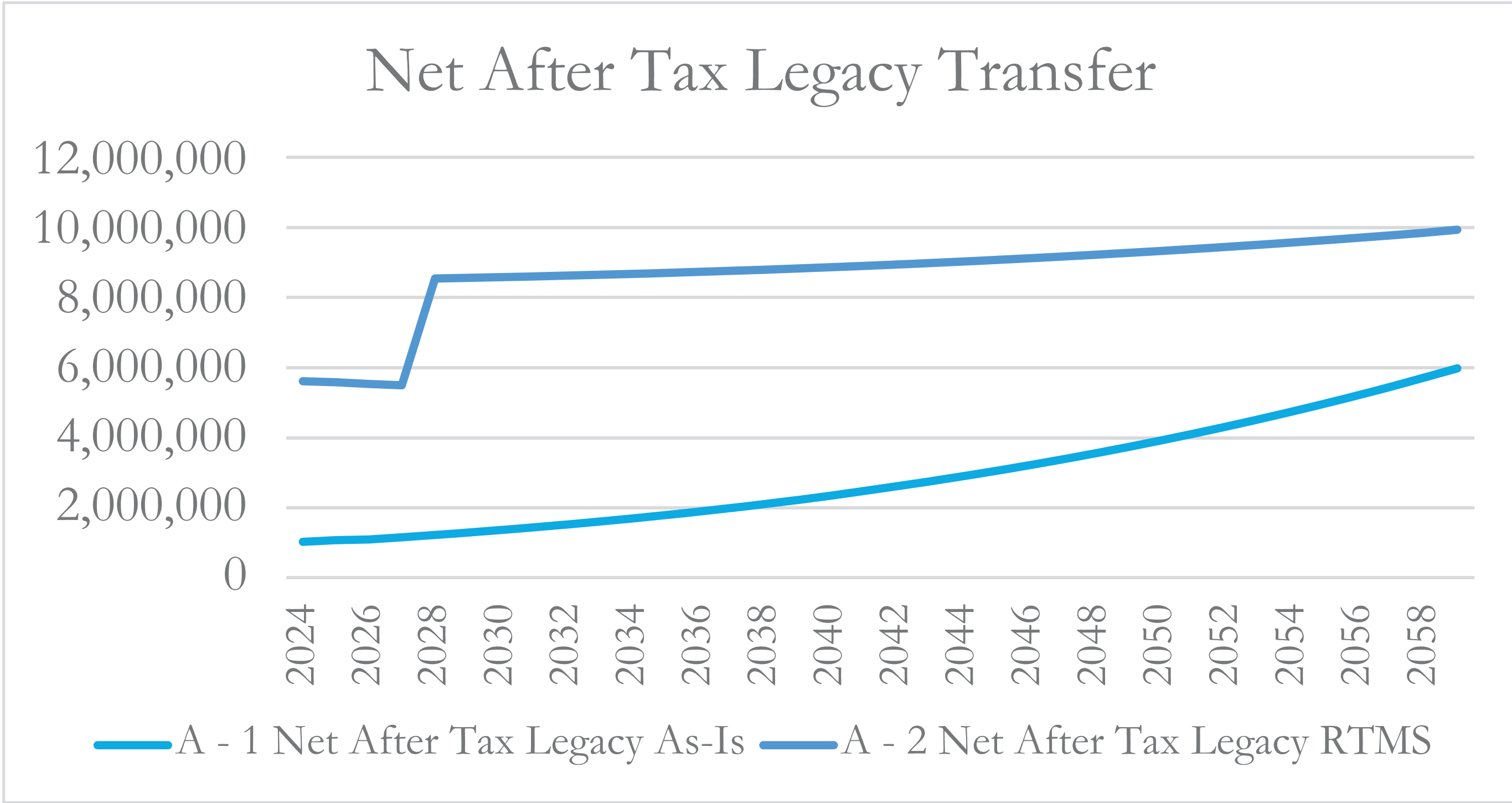
- Rollover to Qualified Defined Contribution Plan
- Acquire and Fund Life Insurance in Qualified Plan
- Reposition Policy into Personal Ownership, ILIT, or SLAT
 - Swap Cash into Plan and Change Ownership of Policy PTE
 - 92-6, Rev. Proc. 2005-25 and Rev. Rul. 2007-13



Retirement Tax Minimization Strategy

Legacy Version





Assumptions

- Age 60 •Business Owner Net Worth > 50 Million
- Assets considered = 2.0 Million In Qualified Plan

+420K in Non Qualified Assets

- As - Is - Assumes Required Distributions Only,
pay income tax and invest difference into Non
Qualified Asset account

- RTMS - Acquire Single Life Policy In
Qualified Plan & Reposition Into ILIT or SLAT

- Assumes 6% return on investment assets
- Life insurance policy illustrated at assumed 6%



Retirement Tax Minimization Strategy Legacy Focused Example

2nd Death At Age	As-Is Asset Positioning	With RTMS	% Increase	Cumulative Income, Investment and Estate Tax Savings
Age 75	2.223M	8.827M	297%	2.624M
Age 85	3.732M	9.269M	148%	4.466M
Age 95	5.978M	9.926M	66%	6.998M



134 East Main Street
New Albany, Ohio 43054

Executive Concierge Team
Phone: (614) 927-0909

info@mchenry-advisers.com

mchenry-advisers.com

